MKTG 6110 · SIMULATION

Pivot or Perish

Introduction

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OVERVIEW

A State-of-the-Art Simulation

Role-Play as a firm

Allows you to role-play and make decisions as a firm in an age of disruption.

Grounded in Reality

The simulation is based on years of understanding market forces.

Market Forces at Work

It's built on expert analyses of real firms' strategies.

Key Objectives

1. Execute S-T-P

Segmentation, targeting, and positioning

2. Use the Kahn Retail Success Matrix

Plot your strategic progress across all four quadrants and use the Matrix to guide investments and remain competitive as rivals evolve

3. Navigate Resource Constraints

Execute a marketing strategy with limited resources, every dollar counts and trade-offs are real

YOUR COMPANY

Getchells



Modeled after a real legacy department store retailer

Legacy Brand with a Solid Foundation

Getchells is a large, large, established retailer with strong strong brand recognition — but that heritage has become a liability as as the market evolves around it.

Slow to React

As disruptive competitors entered entered the retail space, Getchells has has lost market share and has been been **slow to adapt** to changing customer expectations.

Quadrant Weaknesses

Customers have been drawn to rivals rivals offering **more creative convenient** experiences. Getchells trails in Frictionless, Experiential, and Low Price.

Your Competitors

Your competitors have been modeled after real-life retailers:

AIM	= Target	**BestCo**	= Costco
Zephara	= Sephora	**Cadabra**	= Amazon
KT Benny	= JC Penney	**PriceMart**	= Walmart

Why don't we just use the real names?

Focus on the Strategy

—**Think like a CMO**

What would you invest in to make your company competitive?

— **Don't be too overwhelmed by the data** -- Focus on the large strategic investments available to you.

— **Divide and conquer!**

All team members have access to the same data -- split up the work to maximize your time spent.

REMEMBER only ONE of you can submit the decision.

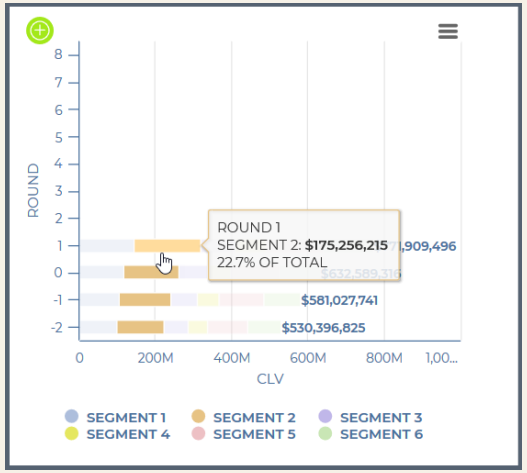


Understanding the Six Segments

Segmentation: dividing customers into groups based on common characteristics. **Targeting**: evaluating the attractiveness of each segment and choosing target segments.



Use the **Market Size, Market CLV,** and **Preferences** graphs in the “Data” tab to see the size of these segments and how they value each attribute of your company.



Segments and Your Competition

Your competition has its eyes set on one or more segments:

Segment 1 Frictionless/Low Price, Prefers Online
→ *Cadabra*

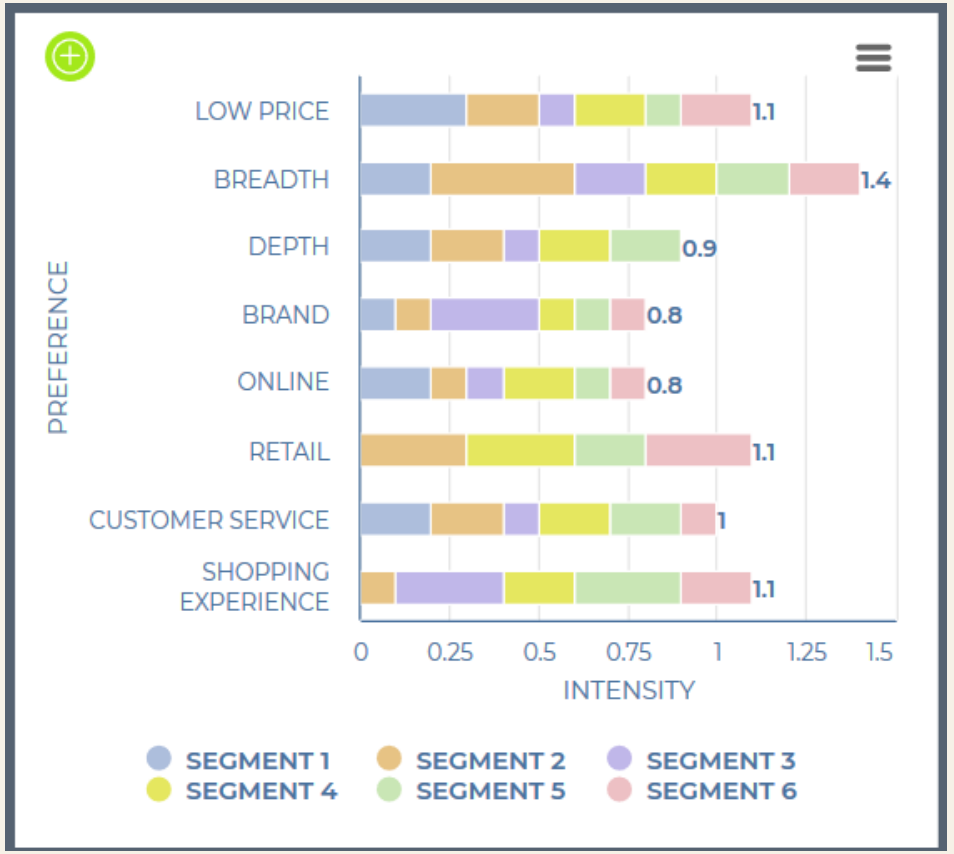
Segment 2 Low Price/Frictionless, Prefers In-Store
→ *AIM / PriceMart*

Segment 3 Brand/Experiential
→ *Zephara*

Segment 4 Mix of Preferences, Prefers In-Store
→ *AIM / Zephara / KT Benny*

Segment 5 Frictionless/Experiential
→ *Zephara*

Segment 6 Low Price/Experiential, Prefers In-Store
→ *BestCo*



Developing Your Strategy

Identify Your Target Segments

Decide which segments' preferences you want to serve. Study size, CLV, and and preference intensity before committing.

Match Strategy to Segment Needs

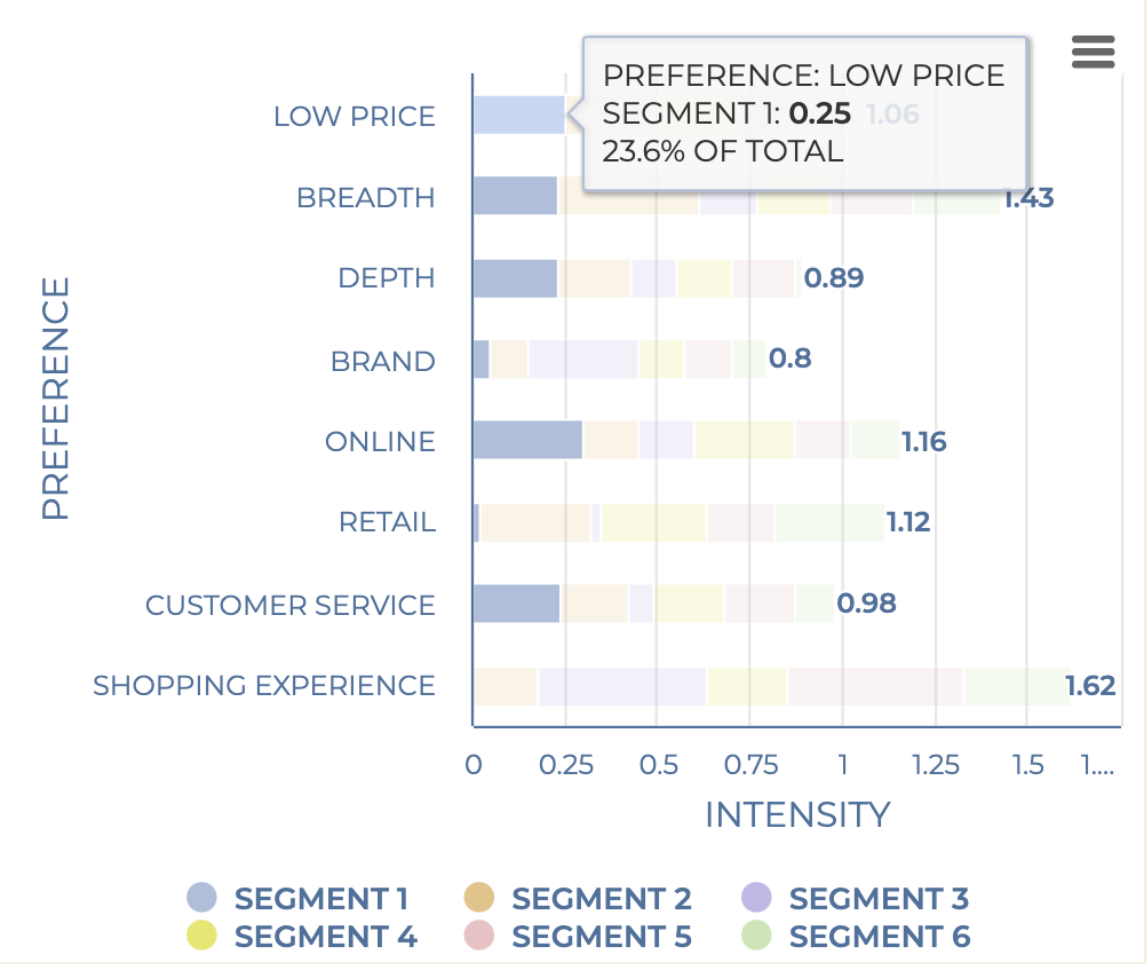
Align your investments with with what your chosen segments actually value. For For example, targeting Segments 2, 4, or 5 suggests suggests a strong in-store store experience focus.

Anticipate Competitive Moves

Your competitors are not not static. Watch where where they invest each round, and be prepared to prepared to adapt your strategy as the market shifts around you.

WORKED EXAMPLE

What Are Segment 1's Preferences? Do They Match Getchells' Strengths?



Online

Low price

Customer Service

Breadth

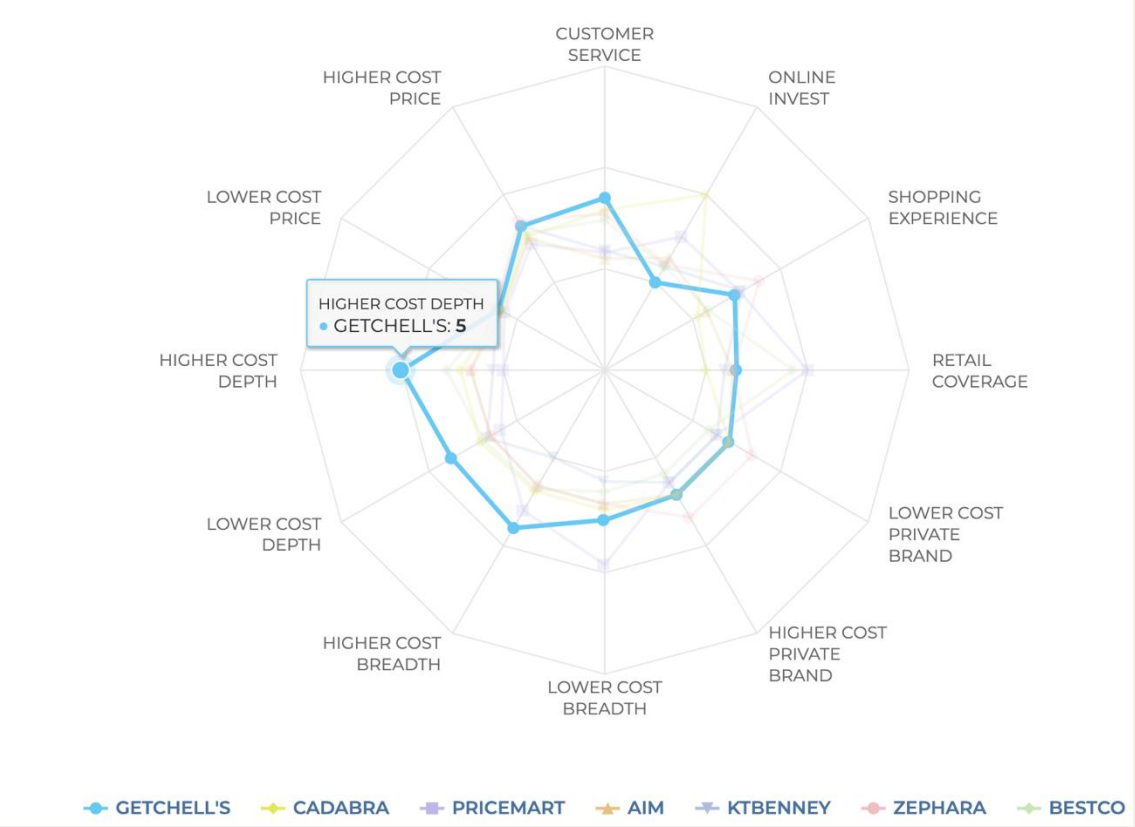
Depth

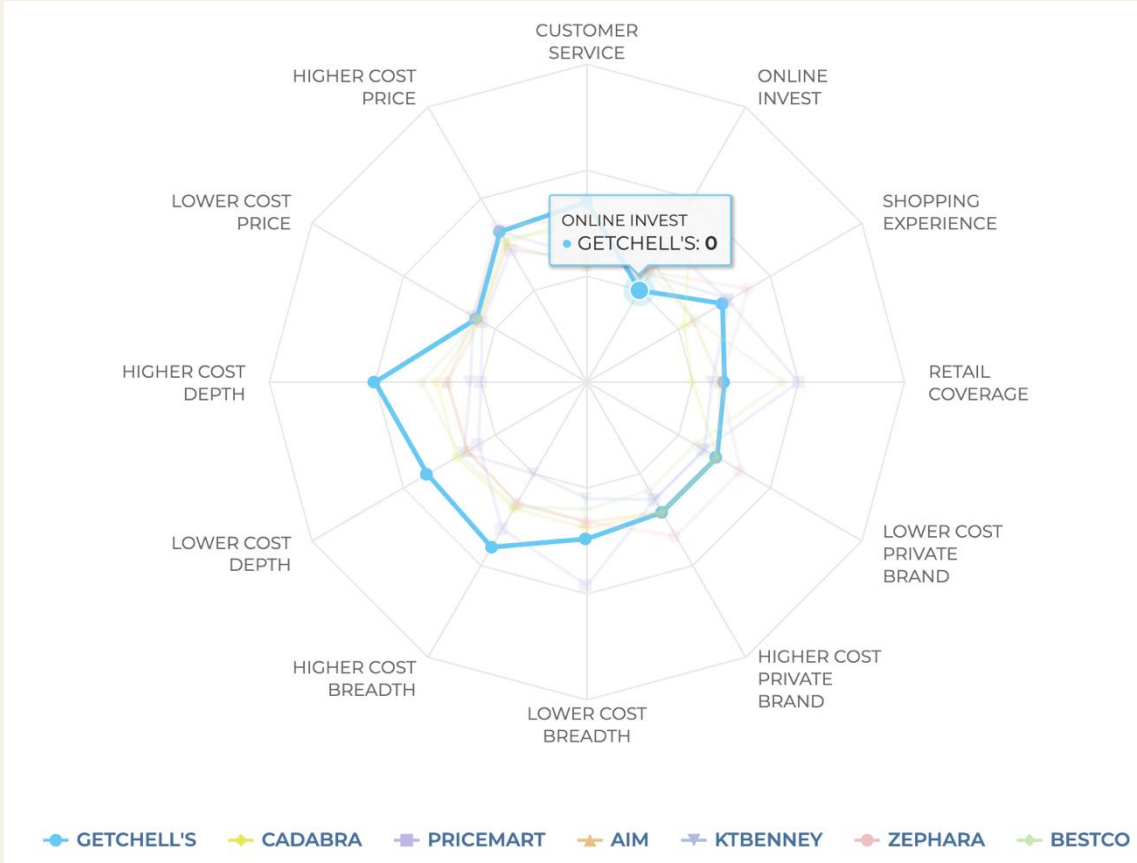
NOT Brand
NOT Retail
NOT Shopping Experience

The critical question: does Getchells currently currently have the strengths to compete here — or would this require significant investment from a weak weak starting position? position?

WORKED EXAMPLE

How Do These Preferences Match Getchell's Strengths?





The radar charts below show Getchells' current investment levels against all competitors. Each axis represents a strategic dimension — the further from center, the stronger the position. Notice that Getchells scores a **5 in Higher Cost Depth** but critically scores **0 in Online Investment** — a major gap given Segment 1's priorities. *Numbers are generated by the game developers on a 0–10 scale.*

DECISION POINT

Making Decisions

Strategic Investments First

Prioritize the investment sliders that directly move the Matrix — online, customer service, shopping experience, vendor management, analytics, and brand.

Study Before You Spend

Always review your target segments and competitors' current positions before finalizing any investment allocation.

One Submission Per Team

Coordinate with your team — only one person can submit each round. Confirm your final decisions together before hitting submit.



On Stores…

— Closing stores will not expand your budget! Your budget reflects total company revenue -- closing stores does not generate revenue.

— You can't close “bad” stores -- all stores are the same for the purposes of the simulation.

— **So why close or open stores?**

THE MATRIX, MECHANICALLY

Navigating the Kahn Retail Success Matrix

Your strategic investments drive your progress in each quadrant:

— Online Investment = Frictionless

— Customer Service = Frictionless / Experience

— Shopping Experience = Experience

— Vendor Management = Low Price

— Customer Analytics = Frictionless / Experience

— Carrying high-quality brands (private/national) = Brand

— Price markup percentage = Low Price



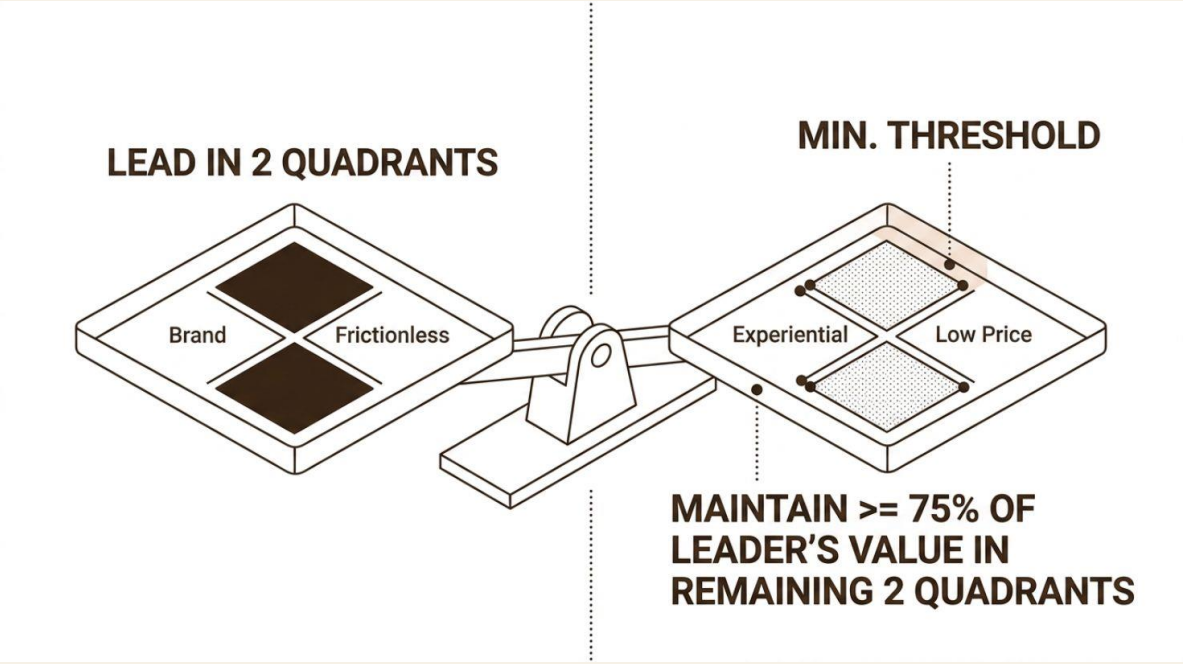
CORE CONCEPT

Fair Value

— It is NOT enough to just lead in two facets of the Retail Success Matrix -- customers still look for “fair value” in all areas.

— Think of it this way: if Getchells shipped products in 1–2 weeks while Cadabra offers two-day delivery, that gap would erode customer trust even if Getchells excelled at in-store experience. You don't need to match the leader — but you must remain within a credible range.

— **Fair Value is 75% of the leader's value in that particular quadrant.**



CORE CONCEPT

Your Goal: Increase the market value of Getchells

— You'll increase market value the most by being close to or the leader of two quadrants, while maintaining “fair value” in the two remaining quadrants.

Budget = 14% of previous revenue, or previous budget with an inflation allowance -- whichever is greater.

— Do NOT feel compelled to spend your entire budget each round -- use judgment to balance strategic expenditures against margins.

— You do not directly control taxes or interest expenses.

DECISION POINT

Choosing a Strategy

Your team must now determine how to invest Getchell's limited funds to delight targeted customers, attract revenue, and profit -- without exceeding your budget.

DON'T FORGET YOUR GOALS

— Be BEST in one quadrant, and use that advantage to leverage a 2nd quadrant.

— Offer FAIR VALUE (good enough) in all four quadrants -- fair value depends on what your competitors do!



The Dashboard: The Matrix

— Click on the label of each quadrant to view progress over time.

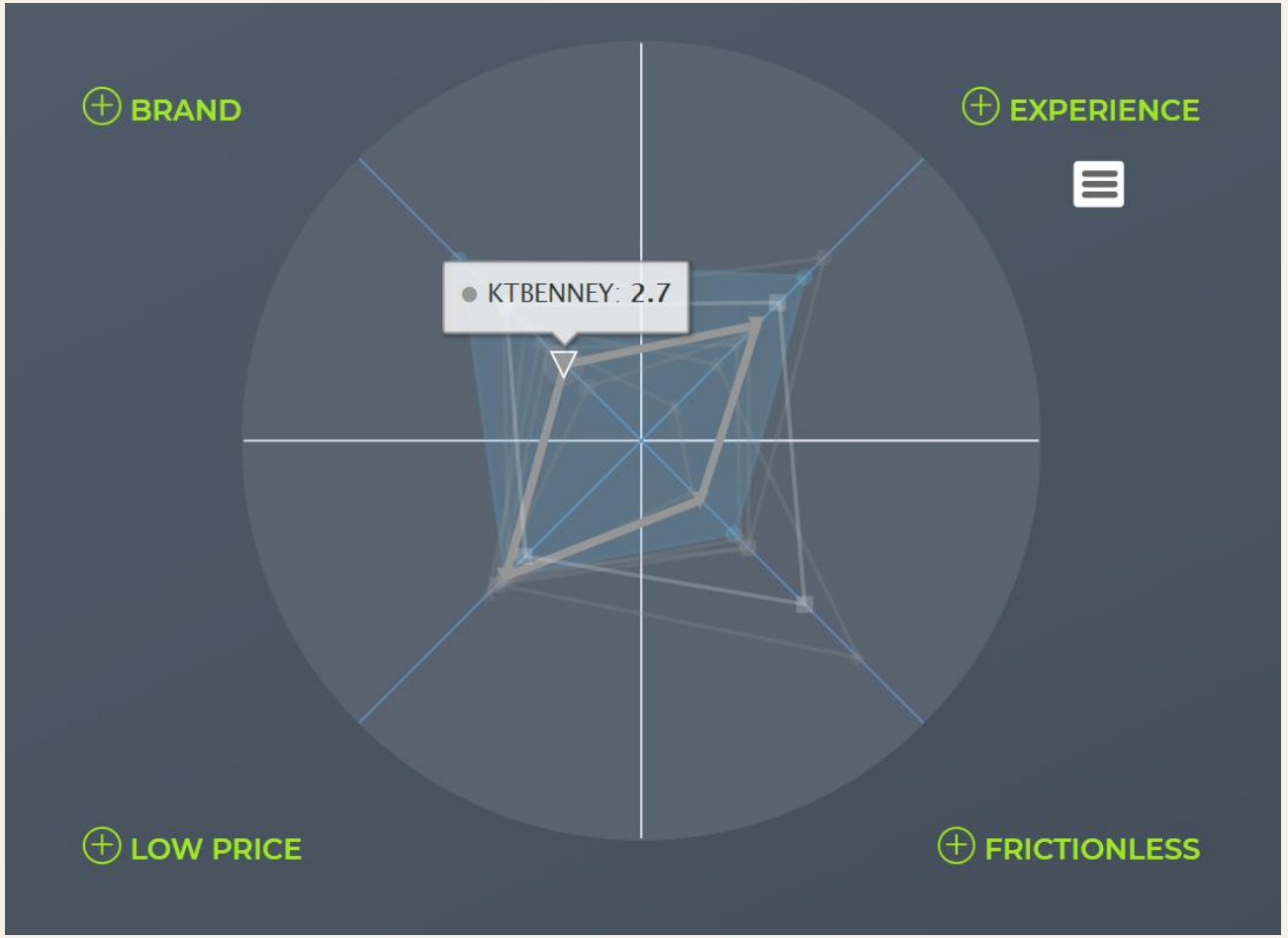
— Click on the legend (bottom) to toggle each company on/off and view “Fair Value.”



Track Your Progress

After each round resolves, return to this view to assess whether your investments moved you in the intended direction — and how competitors responded.

Don't Forget: Maintain a Fair Value Baseline in ALL Quadrants



The Dashboard: Background, Data & Scorecard

COMPANY / MARKET BACKGROUND

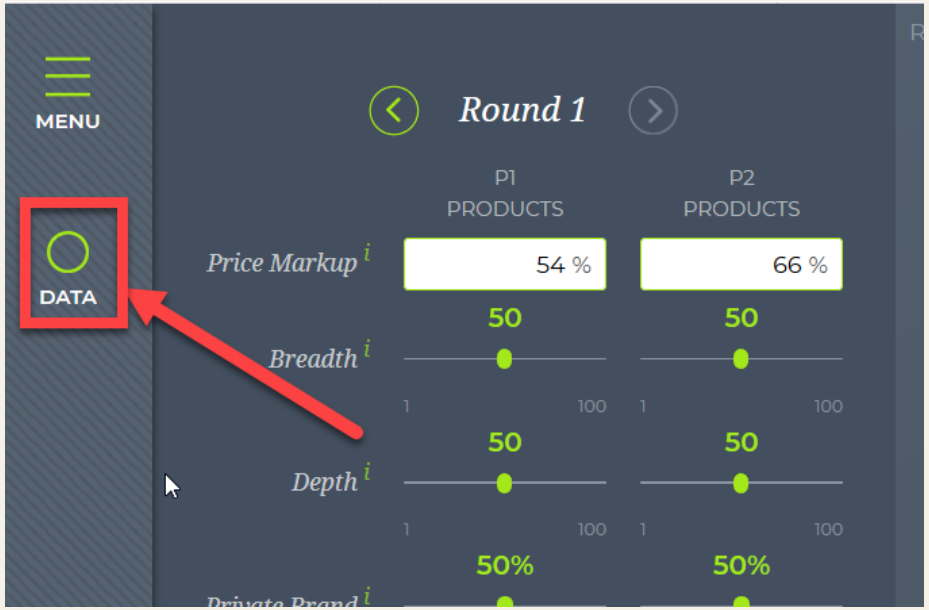
Scroll down on the homepage to read background information about your company, your competition, and the market.

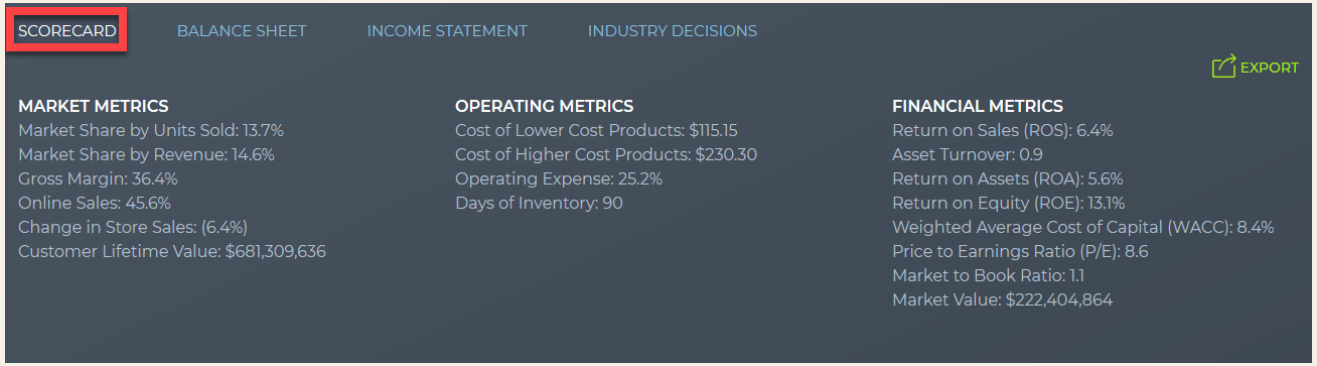
DATA DASHBOARD

View information on market size, customer preferences, segment size, and more.

SCORECARD

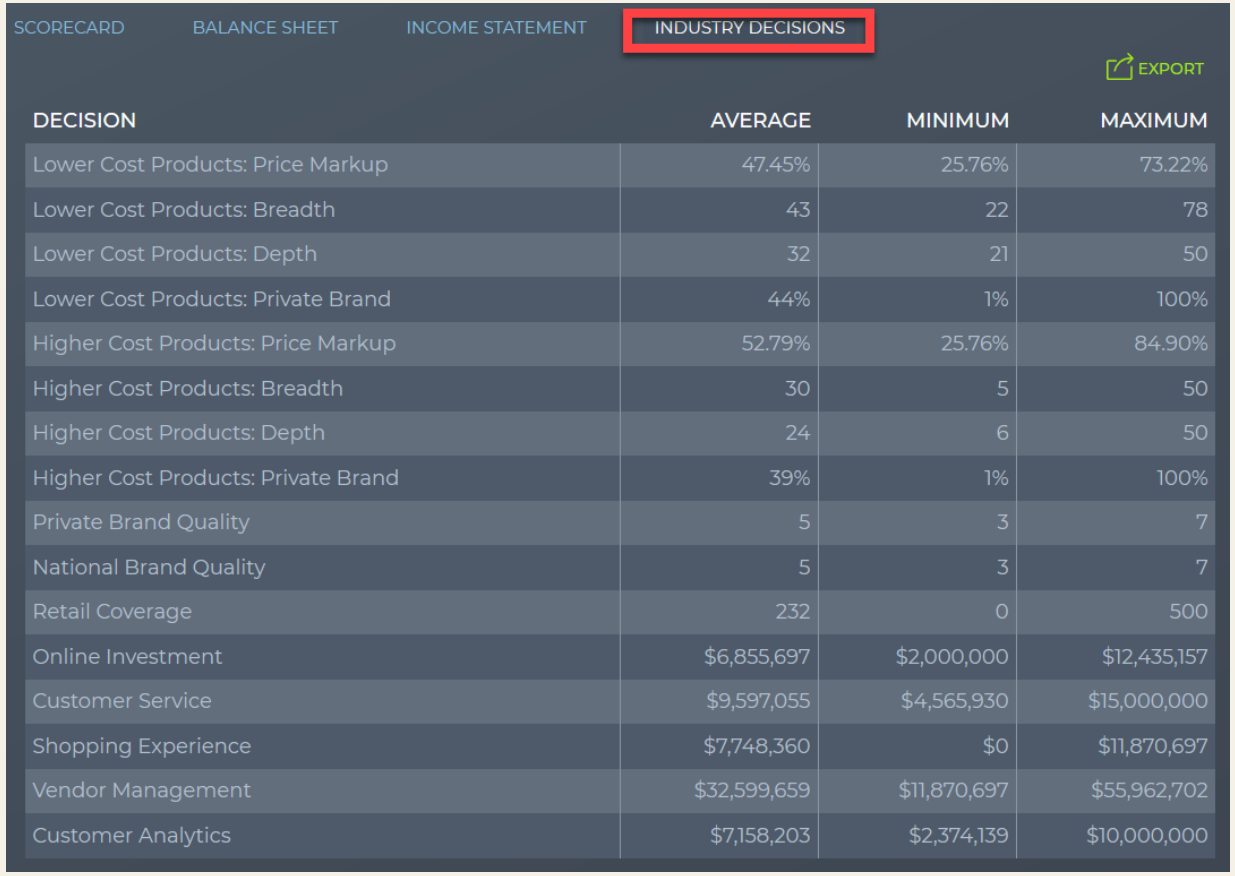
Key company information at a glance -- a snapshot of your general company health.





The Dashboard: Industry Benchmarks

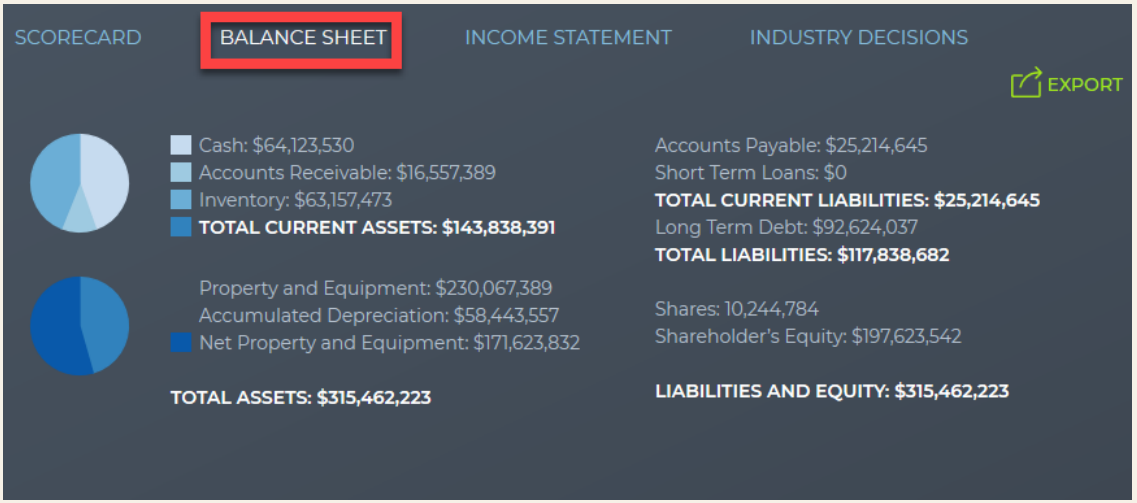
Though you don't have your competitors' exact figures, you can see the Average, Minimum, and Maximum values for each decision across all competitors.

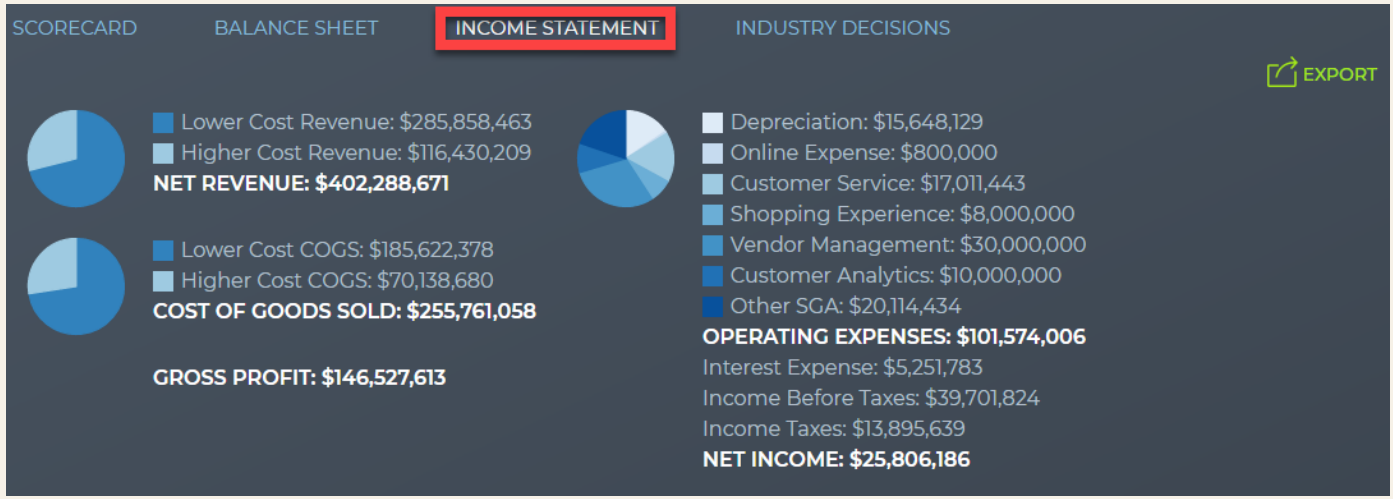


DECISION	AVERAGE	MINIMUM	MAXIMUM
Lower Cost Products: Price Markup	47.45%	25.76%	73.22%
Lower Cost Products: Breadth	43	22	78
Lower Cost Products: Depth	32	21	50
Lower Cost Products: Private Brand	44%	1%	100%
Higher Cost Products: Price Markup	52.79%	25.76%	84.90%
Higher Cost Products: Breadth	30	5	50
Higher Cost Products: Depth	24	6	50
Higher Cost Products: Private Brand	39%	1%	100%
Private Brand Quality	5	3	7
National Brand Quality	5	3	7
Retail Coverage	232	0	500
Online Investment	$6,855,697	$2,000,000	$12,435,157
Customer Service	$9,597,055	$4,565,930	$15,000,000
Shopping Experience	$7,748,360	$0	$11,870,697
Vendor Management	$32,599,659	$11,870,697	$55,962,702
Customer Analytics	$7,158,203	$2,374,139	$10,000,000

The Dashboard: Financials

Balance Sheet & Income Statement -- explanations of these terms are in the “Pivot or Perish Student Guide” on Canvas.





Using Excel: anywhere you see “Export” or a hamburger menu, you can export the data displayed to Excel for further analysis.

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STRUCTURE

Goals of Rounds (Years) -- Total 8

YEARS ONE & TWO

— Become comfortable with the simulation.

— See how your investments impact your bottom line and placement on the matrix.

YEARS THREE & FOUR

— Develop a consistent strategy for Getchells.

— Identify and begin to target the key customer segments.

YEAR FIVE

— Make investments to execute your strategy, see how competitors are reacting, and pivot as necessary when you see opportunities.

You will have one “undo” decision for Round 1, to learn how the game works.

SUPPORT

Staff Contact Information and Help

— Student Guide is available in Canvas!

— For simulation content help: Pivot or Perish Development Team -- popdevteam@wharton.upenn.edu

Student Demo Info for: Barbara Kahn
URL: https://pop.prod.wharton.revsys.com/
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